Consider California. Its wealth was initially built on gold mines. But today it is built on silicon and celluloid – Silicon Valley and the celluloid hills of Hollywood. What would happen if the Chinese were to mount an armed invasion of California, land a million soldiers on the beaches of San Francisco and storm inland? They would gain little. There are no silicon mines in Silicon Valley. The wealth resides in the minds of Google engineers and Hollywood script doctors, directors and special-effects wizards, who would be on the first plane to Bangalore or Mumbai long before the Chinese tanks rolled into Sunset Boulevard. It is not coincidental that the few full-scale international wars that still take place in the world, such as the Iraqi invasion of Kuwait, occur in places were wealth is old-fashioned material wealth. The Kuwaiti sheikhs could flee abroad, but the oil fields stayed put and were occupied.

While war became less profitable, peace became more lucrative than ever. In traditional agricultural economies long-distance trade and foreign investment were sideshows. Consequently, peace brought little profit, aside from avoiding the costs of war. If, say, in 1400 England and France were at peace, the French did not have to pay heavy war taxes and to suffer destructive English invasions, but otherwise it did not benefit their wallets. In modern capitalist economies, foreign trade and investments have become all-important. Peace therefore brings unique dividends. As long as China and the USA are at peace, the Chinese can prosper by selling products to the USA, trading in Wall Street and receiving US investments.

Last but not least, a tectonic shift has taken place in global political culture. Many elites in history – Hun chieftains, Viking noblemen and Aztec priests, for example – viewed war as a positive good. Others viewed it as evil, but an inevitable one, which they had better turn to their own advantage. Ours is the first time in history that the world is dominated by a peace-loving elite – politicians, business people, intellectuals and artists who genuinely see war as both evil and avoidable. (There were pacifists in the past, such as the early Christians, but in the rare cases that they gained power, they tended to forget about their requirement to ‘turn the other cheek’.)

There is a positive feedback loop between all these four factors. The threat of nuclear holocaust fosters pacifism; when pacifism spreads, war recedes and trade flourishes; and trade increases both the profits of peace and the costs of war. Over time, this feedback loop creates another obstacle